S.No. 8

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1
ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
30-05-2022 AT 10:30 A.M. THROUGH VIDEO CONFERENCE

CP(AA) Merger & Amalgamation/38/2021
U/s 230 of Companies Act, 2013

IN THE MATTER OF:

Excelra Knowledge Solutions Pvt Ltd (Transferor Co.1) &
GVK Davix Technologies Pvt Ltd (Demerged/First Transferee/Second Transferor Co.) & GVK Davix Research Pvt Ltd (Resulting Co.) &
Aragen Life Sciences Pvt Ltd (Transferee Co.)

…Petitioner

C O R A M:-

DR. VENKATA RAMAKRISHNA BADARINATH NANDULA, HON'BLE MEMBER (JUDICIAL)
SH. VEERA BRAHMA RAO AREKAPUDI, HON'BLE MEMBER (TECHNICAL)

O R D E R

Orders pronounced vide separate sheets in CP(CAA)No.38/230/HDB/2021.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Pavani

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, HYDERABAD

CP (CAA) No.38/ 230/HDB/2021
Connected with
CA (CAA) No.21/230/HDB/2021
U/s 230 to 232 of the Companies Act, 2013

IN THE MATTER OF

M/s. Excelra Knowledge Solutions Private Limited
('First Transferor Company')

And

M/s. GVK Davix Technologies Private Limited
("Demerged/First Transferee/ Second Transferor Company")
with
M/s. GVK Davix Research Private Limited
("Resulting Company")
And
M/s. Aragen Life Sciences Private Limited
("Second Transferee Company")
And
Their respective Shareholders

M/s. Excelra Knowledge Solutions Private Limited
a company incorporated under the Companies Act, 1956
having its registered office at Plot 28A,
IDA Nacharam, Hyderabad, Telangana – 500 076.
rep. by Mrs. Sujatha Mudumala,
Vice President – Finance & Legal ... 1st Petitioner/
("Transferor Company-1")

AND

M/s. GVK Davix Technologies Private Limited

a company incorporated under the
Companies Act, 1956 having its registered
office at Plot 28A, IDA Nacharam, Hyderabad,
Telangana – 500 076.
rep. by Mr. Ramakrishna Kasturi,
Company Secretary ... 2nd Petitioner/
("Demerged/First Transferee/
Second Transferor Company")

AND

M/s. GVK Davix Research Private Limited
a company incorporated under the
Companies Act, 1956 having its registered
office at Plot 28A, IDA Nacharam, Hyderabad,
Telangana – 500 076.
rep. by Mrs. Sujatha Mudumala,
Authorised Representative … 3rd Petitioner/
(Resulting Company)

AND

M/s. Aragen Life Sciences Private Limited
a company incorporated under the
Companies Act, 1956 having its registered
office at Plot 28A, IDA Nacharam, Hyderabad,
Telangana – 500 076.
rep. by Mr. Ramakrishna Kasturi,
Company Secretary … 4th Petitioner/
Second Transferee Company

DATE OF ORDER: 30.05.2022

Coram:

Hon'ble Dr. N.V.Rama Krishna Badarinath, Member (Judicial)

Hon'ble Shri Veera Brahma Rao Arekapudi, Member (Technical)

Counsels / Parties Present

For Petition: Shri V.B. Raju, Advocate

For the R.D. Shri Shasi Raj Dhara, Joint Director

For the O.L. Shri G.Srinivasa Rao, Representative of Official Liquidator

PER-BENCH

1. This joint Petition is filed under Sections 230-232 of the Companies Act, 2013 seeking for sanction of the Composite Scheme of Arrangement between M/s Excelra Knowledge Solutions Private Limited (1ST Petitioner/Transferor Company-1) and GVK Davix Technologies Private Limited (2nd Petitioner/("Demerged/First Transferee/ Second Transferor Company) and M/s. GVK Davix Research Private Limited (Third Petitioner/Resulting Company) and M/s. Aragen Life Sciences Private Limited (4th Petitioner/2nd Transferee Company) and their respective Shareholders and Creditors with effect from Appointed dates i.e. in relation to the part-II of the Scheme shall mean the 1st day of April, 2021 and in relation to Part III and IV of the Scheme shall mean the 2nd day of April, 2021 annexed as Annexure 10 to the said Petition.

2. The averments germane to the facts of the petition are:

1st Petitioner/Transferor Company-1

a) M/s Excelra Knowledge Solutions Private Limited/First Petitioner/ Transferor Company 1 was originally incorporated as

a private limited company under the Companies Act, 1956 in the then State of Andhra Pradesh on 4th March 2014 under the name and style of 'GVK Informatics Private Limited'. Subsequently, on 18th December 2015, the name of the Company was changed to 'Excelra Knowledge Solutions Private Limited' and its Corporate Identity number is U72200TG2014PTC093303.

b) The First Petitioner/Transferor Company-1 is engaged in the business of information technology based and enables services such as advance data science and tech enabled data, analytics and technology services etc. A copy of the Memorandum and Articles of Association of the First Petitioner /Transferor Company is annexed as **Annexure-1** to the Petition.

c) The Authorized, Issued, Subscribed and Paid-up capital of the 1st Petitioner/First Transferor Company as on 31stMarch, 2020 is as follows: -

Particulars	**Amount in INR**
Authorised Capital	
20,00,000 equity shares of INR 10 each	2,00,00,000
Total	**2,00,00,000**
Issued, Subscribed and Paid up Capital	
11,03,000 equity shares of INR 10 each	1,10,30,000
Total	**1,10,30,000**

Subsequent to the above date and till the date of filing the Petition, there is no change in the authorized, issued, subscribed

and paid-up capital of 1st Petitioner/ First Transferor Company. A copy of the Audited Balance Sheet as at 31stMarch, 2020 and Unaudited Statement of Accounts as on 31.03.2021 of the 1stPetitioner /First Transferor Company is annexed as **Annexure-2** to the Petition.

2nd Petitioner/Transferor Company-2:

d) GVK Davix Technologies Private Limited/2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company was originally incorporated as a private limited company under the Companies Act, 1956 in the then State of Andhra Pradesh on 25th February2005 under the name and style of 'Inogent Technologies Private Limited'. Subsequently, on 5th August 2005, the Company changed its name to 'GVK Davix Technologies Private Limited' and its Corporate Identity Number isU74110TG2005PTC045481. The Registered Office of the 2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company is situated Plot 28A, IDA Nacharam, Hyderabad, Telangana – 500 076. The 2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company is engaged in providing information technology based and enabled services. A copy of the Memorandum and Articles of Association of the 2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company is annexed as **Annexure-3** to the Petition.

e) The Authorized, Issued, Subscribed and Paid-up share capital of 2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company as on 31st March, 2020 is as follows:

Particulars	**Amount in INR**
Authorised Capital	
2,50,00,000equity shares of INR 10 each	25,00,00,000
Total	**25,00,00,000**
Issued, Subscribed and Paid up Capital	
2,38,14,000 equity shares of INR 10 each	23,81,40,000
Total	**23,81,40,000**

Subsequent to the above date and till the date of filing of the Petition, there is no change in the authorized, issued, subscribed and paid-up capital of 2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company. A copy of the Audited Statement of accounts as on 31st March, 2020 and unaudited provisional statement of accounts as on 31st March, 2021 of the 2nd Petitioner/First Transferee Company/ Demerged Company /Second Transferor Company are annexed as **Annexure-4** to the Petition.

3rd PETITIONER/RESULTING COMPANY

f) GVK Davix Research Private Limited/3rd Petitioner/Resulting Company was originally incorporated as a private limited company under the Companies Act, 1956 in the then State of Andhra Pradesh on 24thFebruary 2006 under the name and style

of 'GVK Davix Research Services Private Limited'. Subsequently, on 4th December 2007, the Company had changed its name to 'GVK Davix Research Private Limited' and its Corporate Identity Number isU72100TG2006PTC049287. The Registered Office of the 3rd Petitioner/Resulting Company is situated at Plot 28A, IDA Nacharam, Hyderabad, Telangana – 500 076. The 3rd Petitioner/Resulting Company is engaged in providing information technology based and enabled services. A copy of the Memorandum and Articles of Association of the 3rd Petitioner/Resulting Company is annexed as **Annexure-5** to the Petition.

g) The Authorized, Issued, Subscribed and Paid-up share capital of 3rd Petitioner/Resulting Company as on 31st March, 2020 is as follows:

Particulars	**Amount in INR**
Authorised Capital	
10,000 equity shares of INR 10 each	1,00,000
Total	**1,00,000**
Issued, Subscribed and Paid up Capital	
10,000 equity shares of INR 10 each	1,00,000
Total	**1,00,000**

Subsequent to the above date and till the date of filing the Petition, there has been no change in the issued, subscribed and paid up capital of the 3rd Petitioner/ Resulting Company. A copy of the audited Balance Sheet as at 31st March, 2020 and

Unaudited Statement of Accounts as on 31st March, 2021 of the 3rd Petitioner/ Resulting Company are annexed as **Annexure-6** to the petition.

4th PETITIONER/SECOND TRANSFEREE COMPANY:

h) Aragen Life Sciences Private Limited (Hereinafter referred to as 4th Petitioner/ Second Transferee Company) was originally incorporated as a private limited company under the Companies Act, 1956 in the then State of Andhra Pradesh on 7th December 2000 under the name and style of 'GVK Biosciences Private Limited'. Subsequently, on 16th December 2020, the Company had changed its name to 'Aragen Life Sciences Private Limited' and its Corporate Identity Number is U74999TG2000PTC035826. The Registered Office of the 4th Petitioner/2nd Transferee Company is situated at Plot 28A, IDA Nacharam, Hyderabad, Telangana – 500 076. The 4th Petitioner/2nd Transferee Company is engaged in providing contract research and development services to global pharmaceutical and biotechnology companies. A copy of the Memorandum and Articles of Association of the 4th Petitioner/2nd Transferee Company is annexed as **Annexure-7** to the petition.

i) The Authorized, Issued, Subscribed and Paid-up share capital of the 4th Petitioner/Second Transferee Company as on 31st March, 2020 is as under:

Particulars	**Amount in INR**
Authorised Capital	
11,50,00,000 equity shares of INR 10 each	115,00,00,000
Total	**115,00,00,000**
Issued, Subscribed and Paid up Capital	
6,69,82,452 equity shares of INR 10 each	66,98,24,520
Total	**66,98,24,520**

Subsequent to the above date and till the date of filing the Petition, there has been no change in the issued, subscribed and paid up capital of the 4th Petitioner / Second Transferee Company. A copy of the audited Balance Sheet as at 31st March, 2020 and Unaudited Statement of Accounts as on 31st March, 2021 of the 4th Petitioner/ Second Transferee Company are annexed as **Annexure-8** to the petition.

3. The Board of Directors of the Petitioner Companies vide its resolution dated 27th January, 2021, 20th January, 2021, 27th January 2021, 27th January, 2021 respectively approved the Composite Scheme of Arrangement between M/s Excelra Knowledge Solutions Private Limited (1ST Petitioner/Transferor Company-1) and GVK Davix Technologies Private Limited (2nd Petitioner/("Demerged/First Transferee/ Second Transferor Company) and M/s. GVK Davix Research Private Limited (Third Petitioner/Resulting Company) and M/s. Aragen Life Sciences Private Limited (4th Petitioner/2nd Transferee Company) and their respective Shareholders and Creditors. A copy of the Board Resolution of the Petitioner Companies approving the

Composite Scheme of Arrangement are annexed as Annexure-9A to 9D respectively to the joint Petition.

4. **RATIONALE AND PURPOSE OF THE COMPOSITE SCHEME OF ARRANGEMENT**:

The Board of Directors of the Transferor and Transferee Companies envisages the following benefits pursuant to the Composite Scheme of Arrangement of the Transferor Companies and Transferee Companies.

(i) Excelra Knowledge Solutions Private Limited and GVK Davix Research Private Limited are subsidiaries of GVK Davix Technologies Private Limited which are engaged in providing information technology based and enabled services.

(ii) Aragen Life Sciences Private Limited, which is also a subsidiary of GVK Davix Technologies Private Limited, is primarily engaged in providing contract research and development services.

Each of the varied businesses carried on by GVK Davix Technologies Private Limited through its subsidiaries i.e. information technology and contract research and development services business have significant potential for growth and profitability. The nature of risk, competition, challenges, opportunities and business methods for such businesses are distinct and are required to be handled and managed differently. The proposed restructuring will lead to greater / enhanced focus to the operation of each of the said businesses

Apart from the above, it would also have the following benefits:

It will also result in inter-alia the following benefits:

(iii). Consolidation of information technology business of the group under one entity will lead to a more concentrated approach for the development of the business. It will result in operational synergies, centralization, efficient administration and will enable smoother implementation of policy changes from a management perspective;

(iv) Strengthening leadership in the pharmaceutical industry, not only in terms of asset base, revenue and market share, but also in terms of total shareholder return;

(v) Creation of economies of scale in administrative and managerial costs by consolidating operations and would substantially reduce duplication of administrative responsibilities and multiplicity of records and legal and regulatory compliances;

(vi) Delinking the information technology business and the contract research and development services business from GVK Tech Co. would allow for a more focused strategy and specialization for sustained growth, which would be in the best interest of all stakeholders;

(vii) Direct participation of the ultimate shareholders of GVK Davix Technologies Private Limited in both the information technology business and the contract research and development services business.

(viii) Simplification of shareholding structure and reduction of shareholding tiers which will provide for greater transparency to the

shareholder's direct engagement in the information technology business and contract research and development services business.

5. CONSIDERATION:

In case of the merger of the 1st Transferor Company with the 1st Transferee Company the consideration is as follows:

" fully paid up equity shares of face value of INR 10/- (Rupees Ten only) each of the First Transferee Company shall be issued and allotted for every 1 (One) fully paid up equity share of face value of INR 10/- (Rupees Ten only) each held by shareholders in the First Transferor Company."

In case of the Demerger of the Demerged Company into Resulting Company the consideration is as follows:

"5,66,57,815 (Five Crores Sixty Six Lakhs Fifty Seven Thousand Eight Hundred and Fifteen)fully paid up equity shares of face value of INR 10/- (Rupees Ten only) each of the Resulting Company shall be issued and allotted to the shareholders of the Demerged Company in proportion to the number of equity shares held in the Demerged Company"

6. COMPLIANCE OF ACCOUNTING STANDARD:

According to the certificate given by the K.S.Rao & Co. Chartered Accountants it is averred that the Accounting Treatment specified under clause 14 of the proposed scheme is in compliance with the applicable Indian Accounting Standards specified under section 133 of the Companies Act, 2013 r/w Companies (Indian Accounting

Standards) Rules, 2015 and other generally accepted accounting principles.

According to the independent Auditor's Certificate issued by BSR & Associates LLP, Chartered Accountants, the accounting treatment of the second transferee company as specified in Clause 38 of the Draft Scheme, is in compliance with applicable accounting standards (particularly Indian Accounting Standard ((Ind AS-103)- "Business Combinations") notified by the central government of India under Section 133 of the Act, read with the relevant rules made there under, and other generally accepted accounting principles is annexed as **Annexure-15** to the petition.

7. It has been submitted that the petitioner companies filed joint C.A.(CAA) No.21/230/HDB/2021 petition wherein this adjudicating authorities vide orders dated 08th July, 2021 ordered to convene the meetings of the unsecured creditors of the 1st petitioner/1st Transferor company and 4th petitioner/2nd Transferee Company . A copy of the said order by this Hon'ble Tribunal is annexed as **Annexure-11** to the said petition. The Chairman appointed for the respective meetings had submitted his report of the said meeting and stated that the unsecured creditors who attended the meeting have approved the Composite Scheme of Arrangement unanimously.

8. It is submitted that the Adjudicating Authority vide its order dated 08.07.2021 ordered to serve notices to Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Hyderabad and concerned Income Tax Authorities, Circle

8(1), Circle2(1), Hyderabad and Official Liquidator, Hyderabad and to order publication. Pursuant to the said order, notices to the Regional Director, Registrar of Companies and concerned Income Tax Authorities, Circle 8(1), Circle2(1), Hyderabad, Official Liquidator, Hyderabad were issued. It has been submitted that the petitioner company had made paper publication in English News Paper i.e. the Business Standard and Telugu News Paper i.e. Nava Telangana on 06.11.2021. The proof of the publication and the proof of service of the notice of herein was filed by means of Affidavit of Service dated 24.11.2021.

9. The Regional Director vide his report dated 3rd January, 2022 has not objected to the Composite Scheme of Arrangement but has made certain observations. The petitioner companies had filed reply affidavit dated 16.03.2022 in response to the observation made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad where the petitioner companies gave undertaking to appropriately comply with the observations made by the Regional Director the details are given below:

Observations of the Regional Director	**Reply of the Petitioner Companies by way of the Affidavit**
Para 3(a) Hon'ble Tribunal may please to consider 01.04.2021 as the appointed date for the entire scheme. Since the sequence events clearly mentioned with scheme.	It is submitted that the share holders of all the petitioner companies unanimously approved the appointed date as 01.04.2021 for part II of the scheme and approved the appointed date as 02.04.2021 for part III and Part IV of the scheme.
Para 3(b) Hon'ble Tribunal may please to direct the petitioner companies to file statutory annual returns for the period ending 31.03.2021 and furnish the compliance thereof before the scheme is allowed.	It is submitted that petitioner companies have filed all the statutory annual returns for the period ending 31.03.2021.

Para 3(c) Hon'ble Tribunal may please to direct the petitioner Transferee Company No.2 to pay the differential fee and stamp duty after reducing the fees and stamp duty already paid by the Transferor Company No.1 and Transferor Company No.2 before the proposed merger.	It is submitted that the Petitioner/Transferee Company No.2 undertakes to pay the differential fee and stamp duty already paid by the Transferor Company No.1 and Transferor Company No.2 as per the applicable law.
Para 3 (d)-(f) Hon'ble Tribunal may please to direct the Petitioner Companies to preserve the books, comply with statutory laws, file Inc-28 with the Registrar of Companies.	The Petitioner Companies undertake to comply with all the Applicable provisions and rules under the Companies Act, 2013.
Para 4 Hon'ble Tribunal may please to direct the petitioner companies to comply with the observations pointed out vide para 22 (a)-(c) by the official liquidator.	It is submitted by the petitioner companies that reply affidavit with respect to the observations of Official Liquidator has been filed separately.

Para 5 Notice issued to Income Tax Department is returned with remarks "refused" . whereas the petitioner company in its reply stated that the copy of the petition is served on the Assessing Officer of Income Tax Department of the respective Companies.	It is submitted that notice served on the Assessing Officer of the Income Tax Department on 11.10.2021. Proof of service has also been filed with the NCLT with regard to this.
Para 6 Hon'ble Tribunal may please to direct the petitioner Transferee Company to amend the Scheme suitably to remove the Clause 28 of Part III and Clause 15 of Part-II of the proposed Scheme relating to change of name and submit the amended Scheme duly certified by all the Companies, before the Scheme is allowed.	It is averred that by Clause 28 of Part-III of the Scheme, the shareholders of the respective Companies have sought unanimously to change of name of the Resulting Company to that of first transferor Company. Further it may be noted that the resulting Company is part of the same group of Companies under the Scheme. As such there is no need to remove Clause 15 of Part- ii or Clause 28 of Part-III relating to the change of name before the Scheme is allowed.

Para 7 It is submitted that cancellation of equity share capital of the Resulting Company shall be effected as an integral part of this Scheme without having to follow the process under Section 66 of the Act separately and the order of NCLT sanctioning the Scheme shall be deemed to be also the order under Section 66 of the Act for the purpose of confirming the reduction.	It is submitted that under Part-III of Clause 26, the cancellation of the equity share capital of the resulting Company shall have effect without following the process under Section 66 of the Act separately. Further submitted that the provisions of Section 66 of the Act will not be applicable.
Para 8 As per the Annexure-A, the independent Auditors report of Excelra Knowledge Solutions Private Limited, has stated that there are certain dues payable to the Income Tax and Finance Act and the same are pending before the Commissioner of Income Tax, Hyderabad, Commissioner of Central Excise, Hyderabad, and the Customs Excise and Services Tax Appeals Tribunal, Hyderabad. Hon'ble Tribunal may please to direct the petitioner companies to furnish an	Petitioner Companies here by undertake to pay all the dues as and when the demand arises from the respective authorities as per law. As per the Scheme, on the Scheme becoming effective, all the pending litigations shall stand transferred to the respective transferee companies.

undertaking company-wise separately, that as and when demand arises from the respective authorities, petitioner companies are ready to pay the same.	
Para 9 Hon'ble Tribunal may please to direct the demerged company to state total how may divisions are existing with demerged company and which division is going to be merged with the resulting company, and the remaining divisions to be merged with the resulting Company, to be furnished in tabular format, along with details of assets and liabilities before Demerger and after Demerger duly certified by Statutory Auditor of the Demerged Company.	The details has been furnished to the reply affidavit.

10. Further report has been filed by the Regional Director dated 07.04.2022 stating that the reply affidavit filed by the petitioner companies have been examined and it is submitted that Hon'ble NCLT may consider the same as deemed fit and proper in the circumstances.

11. **OFFICIAL LIQUIDATOR'S REPORT:**

The Official Liquidator has filed his report, vide OLR No. 68/2021 dated 30.11.2021 stating certain observations at point no.22 (a)-(c) of his report. The observations pointed out has been replied by the petitioner companies vide affidavit dated 15.03.2022 are mentioned against each.

Observations of OL	Reply by way of Affidavit
22 (a): Hon'ble Tribunal may be pleased to direct the first Transferor; first Transferee/ Demerged/Second Transferor; Resulting and Second Transferee Companies to submit an undertaking that there would no retrenchment of any employee who were in service as on appointed date i.e 01.04.2021 in case of Amalgamation of first Transferor Company (i.e part-II of the Scheme) and 02.04.2021 in case of Demerger and Amalgamation of Second Transferor Companies (I.E Part III &IV of the Scheme) as well.	Petitioner Companies undertakes that there would not be any retrenchment of any employees who were in service as on the i.e 01.04.2021 in case of Amalgamation of first Transferor Company (i.e part-II of the Scheme) and 02.04.2021 in case of Demerger and Amalgamation of Second Transferor Companies (I.E Part III &IV of the Scheme) as well.

22(b) There are certain disputes with regard to Statutory Liabilities are pending before the Competent authorities as well as High Court against the First Transferor Company; first Transferee Company/Demerged/Second Transferor Company and Second Transferee Company as per the information provided by them vide letters dated 09.08.2021/11.08.2021. Further there are no litigations pending against Resulting Company as per the information provided vide letter dated 09.08.2021.	It is submitted that there are certain disputes with regard to statutory liabilities which are pending before competent Authorities. As per the Scheme, on the Scheme becoming effective, all the pending litigations shall stand transferred to the respective transferee companies. Further petitioner Companies undertake to pay said dues as and when demand arises from the respective authorities as per law.
Para C It has been stated that the Company has not accepted any deposit from the Public	Petitioner Companies have not accepted any deposits from public.

Thereafter, Official Liquidator has filed his final report vide OLR No.27/2022 in the Tribunal dated 25.03.2022 stating no further observations in this matter. Hon'ble Tribunal may decide the matter on merits.

12. **OBSERVATION**

We have heard the Learned Counsel appearing for the Petitioner Companies and perused the material papers on record. As regards to the observations pointed out by the Regional Director and compliance filed by the petitioner company, it appears that petitioner Companies under take to comply the necessary observations whenever required. The Official liquidator had also raised certain observations for which the Petitioner Companies filed its reply by way of Affidavit. After hearing the Counsel for the Petitioner Companies and considering the material on record, we are of the view that scheme is not opposed to public interest and the proposed Scheme is in the interests of the Transferor Company, the Transferee Company and their respective shareholders, employees, creditors and all persons concerned. Hence the scheme can be approved with Appointed date i.e. in relation to the part-II of the Scheme shall mean the 1st day of April, 2021 and in relation to Part III and IV of the Scheme shall mean the 2nd day of April, 2021.All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence ordered.

13. **ORDER**

After hearing the Counsel for the Petitioner Companies and after considering the material on record, this Tribunal passed the following order:

A. The Composite Scheme of Arrangement is hereby sanctioned with appointed date as i.e. in relation to the part-II of the Scheme shall mean the 1st day of April, 2021 and in relation to Part III and IV of the Scheme shall mean the 2nd day of April, 2021 and shall be binding on all the members, employees, creditors and all other stakeholders of the Petitioner Companies.

B. While Approving the Scheme, we made it clear that this order should not be construed as an order in anyway granting exemption from payment of Stamp Duty, taxes or any other charges, if any, payable in accordance with law or in respect of any permission/compliance with any other requirement which may be specially required under any law.

C. The whole of the assets, property, rights and Liabilities of the Transferor Company shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

D. We direct the Petitioner companies to comply with all the observations pointed out by the Regional Director and Official Liquidator as detailed in paragraphs 9 and 11 mentioned above.

E. We direct the Petitioner Companies to preserve the books of accounts and papers and records and the same shall not be disposed of without

the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

F. We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme the Petitioner Companies shall not be absolved for any of theirs statutory liability in any manner.

G. All the legal proceedings pending by or against the Transferor Company shall be continued by or against the Transferee Company.

H. Though no representation has been received from the Income Tax Authorities despite service of notice by the Petitioner Companies, the tax implications, if any, arising out of the scheme is subject to final decision of Tax Authorities concerned and the decision of the Tax Authorities concerned shall be binding on the Transferee Company.

I. The Petitioner Companies are directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

J. The sanction of the Scheme by this Tribunal shall not forbid the revenue authority from taking appropriate recourse for recovering the existing and previous tax liabilities of the Transferor and Transferee Companies.

K. We direct the Transferee Companies to comply with the provisions of Section 2 (41) of the Companies Act, 2013.

L. The Transferor Companies shall be dissolved without going through the process of winding up.

M. The Petitioner Companies shall until the completion of the Scheme of Arrangement, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by a Chartered Accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Amalgamation is being complied with in accordance with the orders of the Tribunal as required under Section 232 (7) of the Companies Act, 2013.

N. We direct the Petitioner Companies involved in the Scheme to comply with Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

O. The Petitioner Companies is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of merger under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, GoI, Hyderabad.

P. The Petitioner Companies is directed to issue newspaper publication with respect to approval of Scheme of merger, in the same newspapers in which previous publications were issued.

Q. Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

R. Accordingly the CP (CAA) **38/230/HDB/2021** is hereby allowed and disposed of.

Sd/- Sd/-

Veera Brahma Rao Arekapudi
Member (Technical)

Dr. N.V. Ramakrishna Badarinath
Member (Judicial)

Pavani